

are the stock utilization ratios, the average collection period, the average payment period, net working investments ratio, total asset utilization and fixed asset utilization.

- Margins indicate the earnings a company makes on its sales. The margins calculated are the gross margin, operating margin, breakeven margin, pre-financing margin, pretax margin and the net profit margin.

Cash Flow

1. Cash flow statements will enable an investor to determine how is the company's cash earnings, how the company is being financed and how it uses the finance received.
2. The statement begins with the cash in hand at the beginning of the period. It then details the sources and amounts of funds received and the manner they were applied ending with the final cash in hand.
3. Its main use is that it strips the accounting statements of creative accounting.